



Creating a Strategy

The process of creating a business strategy will help you identify what is possible and what is not. It is a map setting out your goals and how to reach them.

Defining your business

Every new company needs a business strategy that is well thought out, communicates its long-term goals to everyone involved, and sets out broadly how these aims will be achieved. Creating a strategy takes research and thought and should include the input of others with an interest in your business. When complete, you can then use it as a guide to help decide courses of action.

Start by clarifying the purpose of your business, what it stands for, and what you want it to achieve. Also consider the nature of your business—its target audience and

how it will operate and compete. For example, offering a community service requires a totally different strategy from selling luxury goods.

Once you fully understand the aims and nature of your business in more detail, encapsulate this in a simple statement that tells everyone involved why the business exists—its mission statement (see pp.24–25).

Fighting your corner

A vital aspect of your strategy is to take into account the business's strengths and weaknesses, as well as the opportunities and threats it may face. Conduct a SWOT analysis (see p.155) in order to make full use of your strengths (S), such as expert knowledge, while also addressing weaknesses (W), like having limited funds. Include ways to seek and benefit from new opportunities (O) as well as how to deal with threats (T).

Your strategy must include how you plan to compete, which for a new business is essential. While you may not be able to compete on price against established rivals, there are other approaches, such as value, uniqueness, quality, and customer service. Deciding the best way to compete is central to the success of your business.

COMPETING ON PERCEIVED VALUE

What is worth more?

As a small business, we cannot compete on price, but can we offer greater value to our customers? For example:

- **Stay local**, which is more convenient for customers and means the business can offer a more personal service.
- **Provide a personalized service**, where competitors do not, that meets customers' needs better and makes them feel special.
- **Offer convenient** business hours, such as remaining open after office hours.



MAKING IT WORK

- **A strategy must be** kept under constant review, since the environment in which the business operates will change.
- **Check in particular** if there are impending changes in the external environment that will have a negative (or positive) impact on the business.
- **New legislation**, new technology, or even changing economic forecasts can have a significant effect. Keep abreast of current affairs and all new developments in your field of operation.

Evaluating your options

When developing a strategy, every aspect must align so that what you want your business to achieve is something that it realistically can. Similarly, the customers you want to reach must be those that best meet the needs of the business. Take time to carefully compare and contrast each idea against the overall aims of your strategy. For example, when considering how to compete, assess a range of options before deciding.